

Changes in net outcomes and expenditures

American rule

Change from baseline	P shortfall $T = 1$	D burden $T = 0$	D excess $T = 1$	Net fidelity loss	Real costs
Higher costs (2x)	+0.117	-0.014	-0.013	+0.045	+0.070
Moderate risk aversion	+0.079	+0.068	-0.034	+0.056	+0.043
Lower noise	-0.019	-0.129	-0.021	-0.084	-0.110
Lower noise + moderate risk aversion	-0.055	-0.148	-0.046	-0.125	-0.167

British rule

Change from baseline	P shortfall $T = 1$	D burden $T = 0$	D excess $T = 1$	Net fidelity loss	Real costs
Higher costs (2x)	+0.124	+0.011	-0.013	+0.061	+0.092
Moderate risk aversion	+0.030	-0.068	-0.061	-0.050	-0.083
Lower noise	-0.034	-0.101	-0.067	-0.101	-0.129
Lower noise + moderate risk aversion	-0.010	-0.130	-0.080	-0.110	-0.140

Each cell is a change in damages units from the same fee rule's baseline (cost 1, risk neutral, noise 0.20). Higher costs: multiplier 2. Moderate risk aversion: CARA $\alpha = 2$. Lower noise: party and court $\sigma = 0.10$. All use 10 offers. Negative values mean reductions. First three columns condition on truth; final two are ex ante.